

PLAY YOUR CARDS RIGHT

Some of the international travel credit cards with low forex markup fee*

Credit card	Annual fee	Forex markup fee	Other international travel benefits
Axis Magnus Credit Card	₹10,000	2%	• Unlimited international and domestic airport lounge visits with eight additional guest visits with priority pass card per year • 5x EDGE rewards on travel spends via Travel EDGE
HDFC Infinia Credit Card Metal Edition	₹12,500	2%	• Unlimited airport lounge visits for primary and add-on members • Up to 10x reward points on Smartbuy on travel, shopping spends
SBI Card Elite	₹4,999	1.99%	• 6 complimentary airport lounge visits per year outside India through priority pass • Club Vistara Silver and Trident Privilege Red Tier memberships
RBL World Safari Credit Card	₹3,000	Nil	• 5 travel points per ₹100 on travel spends • 2 complimentary international airport lounge visits using priority pass • Travel insurance
YES First Exclusive Credit Card	₹1,999	1.75%	• 24 reward points per ₹200 travel and dining spends • 10 reward points = 1 InterMile/1 Club Vistara point • Up to 6 complimentary airport lounge visits abroad per year

*Fees charged by credit cards when you use them for transactions in a different currency

SOURCE: PAISABAZAAR

card abroad, including the bank that issued the card, the bank that disbursed the cash, and settlement agents like Visa or Mastercard. Converting your money into foreign currency also incurs markup fees. If a particular ATM transaction looks expensive, cancel it and choose another ATM.

UNIFIED PAYMENTS INTERFACE

UPI has revolutionised payments in India in recent years. The good news is that the platform can now be used abroad in a few nations. For instance, PhonePe introduced UPI International in February. This lets Indian PhonePe users utilise UPI to pay foreign merchants in the UAE, Singapore, Nepal and Bhutan by activating international transactoins at merchant locations on their UPI-linked bank accounts. The payment is made via Indian banks and the recipient gets funds in their local currency. This can help reduce plastic card usage abroad. However, UPI International as a whole is yet to take off. First, it's confined to certain countries. Second, the merchant outlet must be UPI-enabled and offer QR codes for you to pay. Though small, UPI International is a key step towards making international travel and payments easier.

FOREX TRAVEL CARDS

You can load these cards with one or multiple foreign currencies and use them interchangeably in different countries. A forex travel card is typically loaded with

funds upfront. While issuing it, some firms may charge you a nominal fee, while many offer it free of cost. Again, the exchange rate used to buy forex for the card is typically higher than the IBR as it covers the operating costs. So, check the margin the issuer charges for IBR.

Preloading a forex card is the safest and cheapest option. It locks in exchange rates, protecting you from fluctuations. "Forex cards do not incur additional foreign exchange markup fees as long as the card is used within the same currency jurisdiction for which it is loaded," explains Rohit Chhibbar, Head of Credit Cards at Paisabazaar. But, will customers be charged TCS on forex cards? "On cards, TCS will be applicable above spends of ₹7 lakh at 20 per cent from July 1," says Tandon of Myforexeeye.

However, these cards charge for ATM withdrawals and balance enquiries, and have a daily withdrawal limit. But what if you run out of money abroad? Well, you can easily reload these cards online from anywhere.

PICKING THE RIGHT RATE

Buying foreign currency requires negotiating exchange rates. Banks and forex dealers sometimes have a considerable margin, so don't accept them immediately. Since banks and money exchangers exploit customers' ignorance, knowing the IBR might help you negotiate better rates. **BT**

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